

**BAKER
HUGHES**

Rpt Date 03/Dec/2006			Well Name/No Bilabri D4			Section Name/No 12-1/4" Section #3			Mud System SYN-TEQ (PARA)							
Job# 1		Spud Date 09/Nov/2006			MD 817.00 m			Progress 0.00 m		Present Activity Wait						
Operator Peak Petroleum Indust. Limited			Company Rep James Blackmon / Chris Newton			Contractor Dolphin Drilling Ltd			Contractor Rep Ally Tough / Troy Nolan							
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria			Area Offshore		Country/State Nigeria		Rig BULFORD DOLPHIN							
Drilling Assembly						Casing		Volumes	Pump Information							
Bit Gauge in		Mfr		Bit Model		OD in	ID in	Depth m	bbl	Model	Liner in	Stroke in	Eff %	Vol/Stk bbl	Stk Rate SPM	Circ Rate USgal/min
12 1/4		Baker		Baker Hughes			19 1/2	172.50	Total Hole	Continental Ensco FA-1600	6 1/2	12.00	97.0	0.1194	0	
Drill Collars			Drill Pipe			36	31 3/4	262.00	562.7	Continental Ensco FA-1600	6 1/2	12.00	97.0	0.1194	0	
OD in	ID in	Length m	OD in	ID in	Length m	20	18 3/4	291.60	Active Pits	Continental Ensco FA-1600	6 1/2	12.00	97.0	0.1194	0	
7 15/16	2 3/4	9.02	5	4.276	512.76	13 3/8	12.415	800.00	478							
7 13/16	2 13/16	63.93	5	3	158.56		12 1/4	817.00	Tot Active							
8	2 3/4	18.27							1040.7	Circulation Times						
									In Storage	Surface to Bit		min/stks		Total System		min/stks
									887	Bottoms Up		min/stks				
Mud Properties						Max Ann Velocity			Hole Information							
Property			Fluid Spec		1	2	3	AV Riser	ft/min	Standpipe Pressure	psi	Water Depth		146.00 m		
Sample From					Active Pit			AV Casing	ft/min	Hole Flow	USgal/min	Riser Booster Rate		USgal/min		
Check Time					13:55			AV Open Hole	ft/min	Solids Analysis						
MD m					817.00			Vc Open Hole	ft/min	Property	1	2		3	4	
TVD m					817.00			Vc Drill Pipe	ft/min	LGS %	6.26					
Bit Depth m					779.00			Min Ann Velocity		LGS lb/bbl	57.06					
Density ppg			10.00-10.50		10.10			AV Riser	ft/min	HGS %	4.84					
Funnel Visc. sec/quart					95.0			AV Casing	ft/min	HGS lb/bbl	71.20					
Test Temp degF					85.0			AV Open Hole	ft/min	Avg Dens Sol sg	3.2973					
Rheol Temp degF					120.0			Bit Information								
PV cP					34			Size	12 1/4 in							
YP lbf/100ft^2					21			Hours On Bit								
10sec Gel lbf/100ft^2					12			Bit Number								
10min Gel lbf/100ft^2					18			BHA Number	4	Rheology						
HTHP Filtrate cc					4.0			Depth In	m	600 RPM	89					
HTHP Cake in/32					2.0			Bit RPM		300 RPM	55					
HTHP Temp degF					250.0			WOB	klbf	200 RPM	47					
HTHP Pressure psi					500			Nozzles	8x18	100 RPM	30					
Retort Water %					31.0			Bit Hydraulics		6 RPM	12					
Retort Base Fluid %					56.0			TFA	1.9880 in^2	3 RPM	11					
Retort Solids %					13.0			Nozzle Vel	ft/sec							
Corrected Solids %					11.1			Bit Press Loss	psi							
Oil:Water Ratio					64:36			HHP / Area	HP/in^2	Hydraulic Analysis						
Alk (Whole Mud-POM) cc/cc					1.00			HHP	%	Behavior Index (n)						
Cl (Whole Mud-Clom) cc/cc					48000					Consistency Index (k) #sec^n/100ft^2						
Ca (Whole Mud-Caom) cc/cc					0					ECD @ Bit Depth ppg						
Excess Lime lb/bbl					1.3					ECD @ Casing Shoe ppg						
Brine Density sg					1.17			Fluid Comments/ Recommendations								
NaCl % wt					0			Received 892 bbls of 10.1 ppg SBM from 'Comrade'. Circulated btms-up twice for tour.								
CaCl2 % wt					20											
Elect. Stab.V					376.0											
Sand %					0.20											
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Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria	
Rig BULFORD DOLPHIN							

Volumes								
Additions bbl			Losses bbl			Total Volumes bbl		
Mud Added	892	Weight Materials	Downhole	Left In Pit	Starting Volume	1035.7	Riser w/o Pipe	209.1
Brine		Water	Cased Off	Trip Losses	Daily Additions	892	Casing w/o Pipe	383.2
Base Fluid		Product	Left In Hole	Injected	Daily Losses		Open Hole w/o Pipe	8.1
Recycled		Other	Discharged	Spill To Environment	Ending Volume	1927.7	String Displacement	37.6
			SCE	Onshore Disposal	Net Change	892.0	String Capacity	37.2
			Evaporation	Returned			Total Hole w/ Pipe	562.7
			Other Losses				Total Active	1040.7
							Total Reserve	887.0

Primary Currency USD		Secondary Currency		Totals USD	
Daily Product Cost	0.00	Daily Product Cost	0.00	Primary Product	184799.10
Daily Tax	0.00	Daily Tax	0.00	Secondary Product	0.00
Debit/Credit	0.00	Debit/Credit	0.00	Primary Engineering	32906.25
Daily Engineering Cost	1350.00	Daily Engineering Cost		Secondary Engineering	0.00
Total Daily Cost	1350.00	Total Daily Cost	0.00	Primary Total	217705.35
Total Inventory Value	585092.50	Total Inventory Value	0.00	Secondary Total	0.00
				Deck Load	755008

Product	Units	Start	Transferred In	Received	Returned	Lost	Daily Use	Final	Unit Price	USD	Daily Cost	USD	Active Ending Concentrations lb/bbl	Reserve Ending Concentrations lb/bbl
Bulk														
MIL-BAR	1000 kg	145						145	540.00				88.96	103.97
Oil Based Product														
CARBO-GEL	25 kg	80						80	264.28					
MIL-LIME	25 kg	80						80	34.25					
OMNI-COTE	55 USgal	4						4	2150.00					
OMNI-MUL	55 USgal	16						16	995.06				1.70	0.61
OMNI-PLEX	55 USgal	10						10	1618.95				0.85	0.31
OMNI-TEC	55 USgal	14						14	925.00				0.90	0.32
PARA-TEQ	1 bbl	1315						1315	280.00					
Water Based Product														
CAUSTIC SODA	25 kg	32						32	37.89					
MIL-GUAR	25 kg	50						50	135.00				0.57	0.66
SOLUFLAKE	25 kg	80						80	57.24					
Xanthan Gum	25 kg	40						40	345.22				0.97	1.14
XCIDE 102	55 USgal	1						1	2508.30				0.01	0.01
LCM														
CALCIUM CARBONATE - FINE	25 kg	160						160	22.68					
CALCIUM CARBONATE - MED	25 kg	120						120	22.68				1.85	2.17
KWIKSEAL - MEDIUM	25 kg	35						35	70.52					
MIL-PLUG FINE	25 kg	56						56	27.01					
Other														
BLACK MAGIC SF T	25 kg	120						120	117.25					
CALCIUM CHLORIDE (97%)	25 kg	320						320	23.21				2.20	0.80
SAW DUST	25 kg	29						29	12.50					

Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.